

03/03/2026

Outperform

Price: \$12.46

Price Target: \$40.00

Industry

Physical AI

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Stock Data

52-Week Range	\$10.49/\$44.15
Avg. Daily Volume	846,172
Market Cap. (MM)	\$282
Shares Out. (MM)	22.7
Float	95.5%
Cash Per Share	\$4.86
Debt-to-Capital	7.4%
Book Value Per Share	\$8.75
Dividend Yield	0.00%
Shares Short	2,846,758
Insider Ownership	4.5%
Institutional Ownership	18.7%
FY End	Dec

Source: Factset

Revenue Estimates (\$M)

	2025	2026	2027
1Q	18.2A	25.0E	--
2Q	21.1A	29.7E	--
3Q	26.5A	37.1E	--
4Q	35.6A	49.8E	--
FY	101.4A	141.6E	220.2E
P/S	2.8x	2.0x	1.3x
Prev CY	100.6A	141.3E	220.0E

EBITDA (\$M)

	2025	2026	2027
1Q	5.2A	3.9E	--
2Q	0.6A	5.8E	--
3Q	6.8A	7.6E	--
4Q	6.6A	10.5E	--
FY	19.1A	27.9E	42.7E
Prev CY	20.7A	27.8E	41.2E

Gorilla Technology (GRRR)

Posts 36% Growth in FY25; Sees Big International AI Data Center Demand

Summary

FY25 results were basically in-line. Company reiterated FY26 revenue outlook, and aims to be cash flow positive. The \$1.4 billion Southeast Asia data center deal is a landmark deal. Supplies should flow this quarter, with completion of phase one in 2Q likely. The pipeline is robust. Management sees large international AI data center demand, and especially for inferencing use cases. Maintaining estimates.

Key Points

Results. Gorilla reported year financials, and indicated 4Q25 revenue was \$35.6 million versus our \$34.8 million estimate. Year revenue of \$101.4 million increased 35.7% y/y. Year gross margin of 33.4% versus 50.0% in FY24. Year adj EBITDA of \$19.1 million versus \$20.0 million in FY24 and our \$20.7 million estimate. Gorilla management reduced operating expenses 54% in FY25. Cash at year end was \$104.8 million.

Guidance. Reiterated FY26 revenue of \$137-\$200 million. Management expects initial GPU supply to arrive in the next few days, consistent weekly flow thereafter, and for NVIDIA's delivery schedule to help narrow guidance range in 1-1.5 months. No adj EBITDA guidance, but aims to be cash flow positive. Important for the year will be Gorilla obtaining allocation of GPUs for data center deployment. Management stated they have high confidence in completing the first data center on their \$1.4 billion Southeast Asia deal in 2Q. We still believe phase one of the deal can produce \$100 million per year. Gorilla tries to lease any colocation capacity available, but the volumes are not sufficient to meet demand. They may buy and build data centers themselves, with a goal of supporting 600 megawatts by year end across many customers. The new financing arm, Gorilla Technology Capital, provides more flexibility, such as matching long duration funding with long duration assets. Success with the large Egypt deal led to success with the large southeast Asia deal, which has prompted a large uptick in the pipeline. Current pipeline stands at \$7 billion, driven by advanced stage AI data center opportunities in key markets, such as India, Malaysia, Saudi Arabia, Singapore, Taiwan and Thailand. As further evidence of their confidence, Gorilla intends to grow full-time headcount to 1,200-1,500 people by June, from 300 today (with 200 contractors). Management highlighted that the AI market evolution to more inferencing from modeling will drive the need for regional data centers to handle the inferencing, which ties directly to end user workflows and edge processing.

Estimate Changes

We are maintaining our FY26 and FY27 estimates. Completion of all phases of the \$1.4 billion program would produce material upside to our estimates and multi-year visibility. This is a landmark deal that serves as a strong reference account, further expanding Gorilla's opportunities.

Landmark Southeast Asia Deal

We believe there are three phases to the \$1.4 billion deal, basically tied to the deployment of three major AI data center instances. The first one is worth \$300 million (which would produce \$100 million per year in revenue), second \$500 million, and third \$600 million. The main customer is a telecom operator in Southeast Asia. Gorilla is partnering with Singapore-based Freyr on the deal. Gorilla is the principal operator and infrastructure lead, and Freyr is the regional expansion expert.

The telecom operator will use the first data center for model training, and the second two for inferencing. The first data center will be in Jakarta, the second instance across Jakarta and Malaysia, and the third Malaysia and Thailand. The telecom operator will sell the capacity on the data centers to end users. The contract with Freyr is an umbrella contract, and could expand over time.

The deal in effect is GPU-as-a-service. Gorilla will provide HPC, and ensure uptime and low latency. The first data center will have normal cooling. The second two will be liquid cooled. NVIDIA and Dell are important suppliers for this deal. Management highlights they win against alternatives given agility, flexibility and software development capability, which lowers costs 5-7%. The Astrikos investment further helps with monitoring and optimization. Gorilla can layer on multiple applications as well, providing smart policing, analytics and cyber security, among others. As a side note, AI data centers in Southeast Asia cost about 50% less than those in the US. In our view the company has several debt options to fund the capex needed for the deal.

Other Quarter Notes

- FY25 revenue had a higher hardware mix than FY24 revenue, leading to the lower gross margin.
- Management states they are now able to be choosy in selecting new customers. They also will only build new data centers when clear customer parameters are present. GRRR further expects customers to prepay a material portion of the capex.
- The new hires would lead to this geographic employee distribution: 1,000 in Thailand, 200 in India and 200 in Taiwan.
- Management suggested news could emerge over the next few days related to supply delivery, helping to give more clarity to deployment timing.
- Management sees their GPU-as-a-service business having 70% gross margin and 20-25% operating margin.
- FY25 CFFO was (\$28.9) million. Gorilla collected \$22 million in 1Q, leading to total cash of \$116.6 million. They expect another \$10 million in collections shortly.
- During FY25, Gorilla reduced debt to \$13.8 million, and repurchased \$3.5 million of stock.

Conclusion

Gorilla Technology has evolved from a vision AI company with customer concentration and a shaky balance sheet to now a global AI and digital infrastructure provider with a diverse set of revenue streams. New deals are structured to have recurring revenue. Much of their \$7 billion pipeline involves building AI data centers across Asia. Gorilla can deploy these data centers efficiently, layering on applications as well. Gorilla's AI-powered platform-as-a-service makes cities and governments smarter, such as via traffic surveillance, and more secure, such as network access. Customers span the globe, including the Egyptian government, several entities in Taiwan, UK-based customers such as a port authority, ONE Amazon, and the large southeast data center.

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The company has greatly improved their balance sheet, providing a solid foundation to execute on their growth plans. Gorilla is now building the largest AI data center in Southeast Asia and solidifying their leadership position in smart policing in the region. The data center deal should provide multiple years of visibility, and lead to additional AI data center opportunities.

We expect Gorilla to grow rapidly and post 40+ on the Rule of 40. Such a metric and AI and tech comps comfortably support a 5x revenue multiple and 20x adj EBITDA multiple, which leads to our \$40 target.

Gorilla Income Statement (\$000)	1Q24	2Q24	3Q24	4Q24	FY24	1Q25	2Q25	3Q25	4Q25	FY25	1Q26E	2Q26E	3Q26E	4Q26E	FY26E	FY27E
Revenue	8,736	11,939	20,055	33,944	74,674	18,259	21,067	26,477	35,557	101,361	25,015	29,704	37,068	49,780	141,568	220,181
Cost of revenue	1,299	1,696	10,554	23,816	37,366	11,851	14,026	16,600	25,008	67,485	14,759	16,931	20,388	27,130	79,208	121,579
Gross profit	7,437	10,242	9,501	10,129	37,308	6,408	7,040	9,877	10,550	33,876	10,256	12,773	16,681	22,650	62,360	98,602
Operating expenses																
Selling expenses	388	278	188	239	1,093	331	412	380	491	1,614	500	594	741	996	2,831	4,404
G&A	3,122	3,260	3,101	2,928	12,410	3,458	3,812	5,201	7,364	19,836	5,253	5,792	7,302	9,359	27,707	43,890
Share listing expenses																
R&D	846	303	394	567	2,110	570	656	825	1,019	3,071	1,751	1,782	2,224	2,987	8,744	12,834
Currency exchange losses, net*	6,456	(1,427)	1,607	21,163	27,799		11,552	3,440	6,026	21,019						
Transaction costs (one time)				433	433											
Fair value remeasurement	8,037	(4,759)	10,199	46,062	59,540	1,838	(307)	196	(688)	1,039						
Expected credit losses				897	897	4,418	(4,418)		863	863						
Other income	19	66		(85)	-	46	44		(91)	-						
Other gains/ losses – net	31	(546)	19	464	(32)	8	279	198	(381)	104						
Total Operating expenses	18,862	(2,957)	15,507	72,838	104,250	10,577	11,942	9,453	15,573	47,545	7,504	8,169	10,268	13,341	39,282	61,128
Operating profit/ loss	(11,426)	13,199	(6,007)	(62,709)	(66,942)	(4,169)	(4,901)	425	(5,023)	(13,668)	2,752	4,604	6,413	9,309	23,078	37,474
Adj EBITDA	5,164	6,489	5,602	2,706	19,961	5,164	571	6,767	6,604	19,106	3,957	5,809	7,618	10,514	27,898	42,694
Non-operating income and expenses																
Other income/interest income	173	219	450	726	1,569	563	614	1,123	977	3,277	800	800	800	800	3,200	3,200
Other gains and losses																
Finance costs	(219)	(198)	(150)	(166)	(733)	(155)	(139)	(135)	(115)	(544)	(115)	(115)	(115)	(115)	(460)	(460)
Change in fair value of warrants																
Total other non-operating expenses	(45)	21	301	560	837	408	476	988	862	2,733	685	685	685	685	2,740	2,740
Loss before income tax	(11,471)	13,221	(5,706)	(62,149)	(66,105)	(3,761)	(4,426)	1,413	(4,161)	(10,935)	3,437	5,289	7,098	9,994	25,818	40,214
Income tax	(52)	(86)	(2,075)	3,524	1,311	(797)	481	(1,441)	1,416	(341)	(1,416)	(1,416)	(1,416)	(1,416)	(5,663)	(5,663)
Profit/Loss for the period	(11,523)	13,134	(7,781)	(58,625)	(64,795)	(4,558)	(3,945)	(28)	(2,745)	(11,277)	2,021	3,874	5,682	8,578	20,155	34,551
Remeasurement of defined benefit plans	3	2	(47)	(3)	(45)											
Exchange differences	1,192	(3,141)	1,344	(405)	(1,011)	(1,586)	2,644	(1,526)	(876)	(1,345)						
Total comprehensive loss for the period	1,195	(3,139)	1,297	(65,203)	(65,850)	(6,145)	13,591	(1,555)	(18,513)	(12,622)	2,021	3,874	5,682	8,578	20,155	34,551
Non-GAAP Net Income	(11,473)	12,654	(6,484)	(123,828)	(117,658)	4,468	1,191	5,950	8,575	20,184	2,821	4,674	6,482	9,378	23,355	38,151
Net loss per share – basic	(1.47)	1.41	(0.66)	(5.42)	(6.13)	(0.23)	(0.20)	(0.00)	(0.10)	(0.51)	0.08	0.15	0.21	0.32	0.75	1.27
EPS	(1.47)	1.26	(0.66)	(5.27)	(6.13)	(0.23)	(0.20)	(0.00)	(0.10)	(0.51)	0.08	0.15	0.21	0.32	0.75	1.27
Non-GAAP EPS		1.36	(0.55)	(11.94)	(11.14)	0.23	0.06	0.26	0.32	0.87	0.11	0.18	0.24	0.35	0.87	1.40
Shares out basic	7,865	9,331	11,807	9,523	10,565	19,498	19,819	23,197	26,488	22,250	26,588	26,688	26,788	26,888	26,738	27,138
Shares out diluted	7,865	10,414	11,807	9,523	10,565	19,498	19,819	23,197	26,488	22,250	26,588	26,688	26,788	26,888	26,738	27,138
Growth																
Revenue y/y	720.0%	400.0%	-36.4%	-27.0%	15.4%	109.0%	76.5%	32.0%	4.8%	35.7%	37.0%	41.0%	40.0%	40.0%	39.7%	55.5%
Margins																
Gross Margin	85.1%	85.8%	47.4%	29.8%	50.0%	35.1%	33.4%	37.3%	29.7%	33.4%	41.0%	43.0%	45.0%	45.5%	44.6%	45.0%
Selling expenses	4.4%	2.3%	0.9%			1.8%	2.0%	1.4%	1.4%	1.6%	2.0%	2.0%	2.0%	2.0%	4.0%	4.0%
G&A	35.7%	27.3%	15.5%			18.9%	18.1%	19.6%	20.7%	19.6%	21.0%	19.5%	19.7%	18.8%	17.6%	17.7%
R&D	9.7%	2.5%	2.0%			3.1%	3.1%	3.1%	2.9%	3.0%	7.0%	6.0%	6.0%	6.0%	6.1%	5.7%
EBITDA margin	59.1%	54.3%	27.9%	8.0%	26.7%	28.3%	2.7%	25.6%	18.6%	18.8%	15.8%	19.6%	20.6%	21.1%	19.7%	19.4%

Company Description

Gorilla sells AI data centers and smart city platform-as-a-service.

Valuation

Our \$40 target is based on about 5x FY27 revenue and 20x EBITDA.

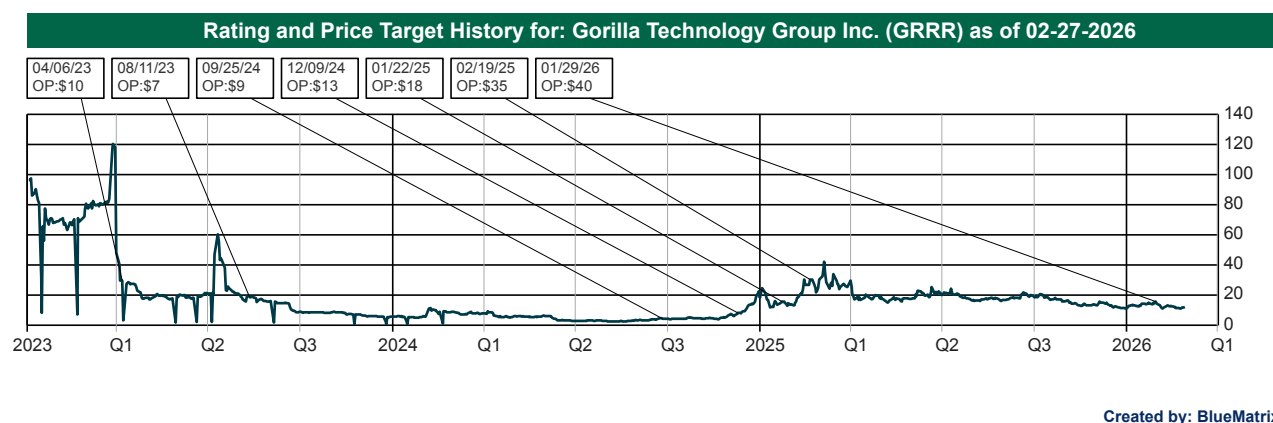
Risks to the achievement of price target

In addition to competition, risks to investors include: working capital needs for large deals, global expansion execution, strategy evolution, new product success, customer concentration, seasonality, compliance and security programs, implementation timelines, government actions, Taiwan-China relations, foreign private issuer status, and FX risk.

Analyst Certification

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Rating Category	Count	Percent	IB Serv./ Past 12Mos.	
			Count	Percent
Buy [OP]	174	77.68%	37	21.26%
Hold [MP]	50	22.32%	3	6.00%
Sell [UP]	0	0.00%	0	0.00%

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